COURSE

OCR GCSE (9-1) in Business (J204)

Revenue, costs and profit

5. Finance · 5.3 Revenue, costs, profit and loss

Revision for 5. Finance: each firm works it out on its own deals.

Class **OCR GCSE Business (J204)** Topic **Revenue, costs and profit**

THE LESSON

Setup	3 min
Round 1	Decisions 3 min · Deals 5 min · Topic tasks 4 min
Firm decisions · Deals · Topic task 1 · Topic task 2	
Round 2	Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min
Firm decisions · Deals · Topic task 3 · Topic task 4 · B2B deal	
Round 3	Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min
Firm decisions · Deals · Topic task 5 · Topic task 6 · B2B deal	
Final questions	3 min

Fits a 30-minute lesson setting; longer settings add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments FROM ROUND 2	Buy property or funds. The value can rise or fall.
Operations	**Seasonal stock**	Order the season's cars in advance.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

A month at the yard.

Total costs for the month?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Fixed costs, a month	**£8,000**
You pay per car	**£17,500**
Cars sold	**4 cars**

METHOD

Total costs = fixed costs + cars × cost per car

£8,000 + 4 × £17,500 = £78,000

Why: Fixed costs stay the same. Variable costs grow with every car.

Task 2

ROUND 1

You list your dealership's costs for a month.

Which two are fixed costs?

PICK TWO

- ○ Cars bought to sell
- ○ Commission on each sale
- ✔ **Rent on the showroom**
- ✔ **The manager's salary**
- ○ Valeting each car sold

Why: Rent and salaries stay the same however many cars you sell.

Task 3

ROUND 2

Three months: cars sold, the price, and total costs.

Order by profit, highest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **10 at £9,000, costs £70,000**
2. **6 at £15,000, costs £75,000**
3. **20 at £5,000, costs £90,000**

Why: Profit: £20,000, £15,000, £10,000. The most revenue made the least profit.

Task 4

ROUND 2

Cost of each car sold.

Average cost per car?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Fixed costs, a month	**£2,500**
Variable cost per car	**£9,500**
Cars sold	**5 cars**

METHOD

Average cost = fixed costs ÷ vans + variable cost per van

£2,500 ÷ 5 + £9,500 = £10,000

Why: Each car carries £500 of the fixed costs.

Task 5

ROUND 3

Each car adds £400 (price minus cost); you sell 15 a month. Sell 5 more, or cut fixed costs £1,500?

Which raises profit more, and why?

PICK A OR B AND GIVE A REASON

- ○ Cut fixed costs by £1,500
- ✔ **Sell 5 more cars**

Why: 5 × £400 = £2,000, more than the £1,500 saved.

Task 6

ROUND 3

Costs are going up.

Profit after the rise? Minus allowed.

WORK OUT THE NUMBER · EXAMPLE FIGURES

Sales	**£100,000**
Variable costs	**£45,000**
Fixed costs	**£15,000**
Variable costs rise by	**10%**

METHOD

Profit = sales – variable costs after the rise – fixed costs

£100,000 – £45,000 – 10% (£4,500) – £15,000 = £35,500

Why: The rise adds £4,500 to variable costs.

Final questions

6
questions for each pupil

150
Level 2 Business questions

15
of them on revenue, costs and profit

The game draws 6 of the 150 Level 2 questions; these 15 are about revenue, costs and profit.

1 A dealership earns revenue of £86,000 and has total costs of £68,500 in a trading period. What is its profit?
£17,500.

2 A vehicle retailer has sales revenue of £150,000 and cost of sales of £90,000. What is its gross profit?
£60,000.

3 A motor business records net profit of £18,000 and sales revenue of £120,000. What is its net profit margin?
15%.

4 A showroom has fixed costs of £11,500 and variable costs of £37,500 for a month. What are total costs?
£49,000.

5 A showroom expects £72,000 sales revenue and wants to make £23,000 profit in a month. What is the highest total cost consistent with that target?
£49,000.

6 A used-car retailer earns £95,000 sales revenue and £33,000 gross profit. What was its cost of sales?
£62,000.

7 A dealer initially expects £70,000 revenue and £66,000 total costs. It then refunds £5,000 of sales while costs stay unchanged. What is the revised result?
A £1,000 loss.

Final questions

8 A dealership expects £80,000 sales revenue and sets a target net profit margin of 6.25%. What net profit would meet the target?

£5,000.

9 A campaign leads to the sale of six vehicles at £14,500 each. What is sales revenue?

£87,000.

10 Revenue is £84,000 and cost of sales £54,000. A supplier discount cuts cost of sales by 10%; revenue is unchanged. What is the new gross profit?

£35,400.

11 A dealer's net profit stays £12,000 while sales revenue rises from £96,000 to £120,000. What happens to net profit margin?

It falls by 2.5 percentage points.

12 Operations has a total cost budget of £56,000, including £9,500 of fixed handling costs. How much can be spent on variable purchasing costs?

£46,500.

13 The Finance lead divides £140,000 sales revenue by £21,000 net profit and reports a 6.7% net profit margin. What is the correct margin?

15%.

14 Sales revenue rises but net profit margin falls. What should the Finance lead investigate?

Whether costs rose faster than revenue.

15 Revenue = selling price × quantity sold. A dealer sells 14 vans at £21,000 each. Using the formula, what is its van revenue?

£294,000.